

Dear Adam,

This Letter of Intent shall serve to outline a proposal for the lease of space at Boulevard Shopping Center, Unit 129 Arnould Blvd. Lafayette, LA 70506. As more fully explained below, this proposal does not constitute a binding agreement between the parties. It only evidences Lessee's offer to negotiate in good faith with Lessor for a lease of space in the Center. The basic terms of the proposal are as follows:

At this time, we are proposing to lease space at this location under the following general terms and conditions:

Lessee: TBD

Lessor: **BELLE REALTY OF LAFAYETTE, LLC**, a Louisiana limited liability company, whose current mailing address is PO Box 62230, Lafayette, LA 70596 and being represented herein by its Authorized Representative, Adam Abdalla

Trade name: HOTWORX®

Premises: 129 Arnould Blvd. Lafayette, Louisiana, 70506 containing approximately 1,789 SF.

Use: 24 hour Infrared Sauna Hot Exercise studio featuring infrared heat and virtual instruction with ancillary high intensity interval training sessions and other ancillary purposes such as the retail sale of fitness related products and vending machines selling fitness related vitamins and beverages.

Contingency: Agreed upon LOI terms are contingent upon the Lessor's team confirming there are no fitness exclusivities which would prohibit HOTWORX's use.

Exclusive Use: Provided that: (a) this Lease has not been terminated; (b) Lessee is not in default of this Lease beyond applicable notice and cure periods; (c) Lessee opens to the public at the Premises for the permitted Use, Lessor agrees that it shall not voluntarily enter into any lease agreement giving a third party the right to operate in the Boulevard Shopping Center Property, a business whose primary business would be a sauna studio, sweat studio, hot yoga or Pilates programs. Lessor further agrees not to lease space in the Shopping Center to any fitness or exercise center 5,000 square feet or less in size. Notwithstanding the foregoing, nothing shall prohibit or impair the operation of a "big box" fitness center occupying over 5,000 square feet of space, provided that the same may not offer fitness, Pilates or hot yoga programs featuring heat (infrared or otherwise) in combination with such programs as the primary use.

The prohibition described herein shall not apply to: (a) any Lessee or successor to Lessee whose lease, including any renewal or extension, is in effect prior to the Effective Date; (b) any business who manufactures goods or equipment; (c) the operation of a "big box" fitness center occupying over 5,000 square feet of space, provided that the same may not offer fitness, Pilates or hot yoga programs featuring heat (infrared or otherwise) in combination with such programs as the primary use.

Should any other Lessee or occupant at the Shopping Center violate the exclusive use rights granted to Lessee by this Section, Lessor shall take reasonable and prudent actions Lessor, in its sole discretion, deems necessary to be taken to cause the offending Lessee or occupant to cease its violation. Should, within a reasonable time after Lessee has given Lessor notice of an alleged breach thereof by such other Lessee or occupant, Lessor fail to proceed as provided in the previous sentence, Lessee, as its sole remedy, may proceed against that Lessee or occupant, in its own name, and at its own expense, to obtain injunctive relief against the offending Lessee and/or to obtain monetary damages from the offending Lessee

or occupant, unless Lessor has failed to include Lessee's exclusive in the offending Lessee's lease, in which case Lessee may proceed against Lessor. Lessor agrees to cooperate with Lessee in any such action, but Lessee shall reimburse Lessor for any out-of-pocket expense incurred by Lessor in so doing.

Initial Lease Term Initial Term: 10-year

Renewal Options: Provided that Lessee is not in default in the performance of this Agreement, Lessee shall have the option to renew the lease for three (3) additional term of five (5) years each, commencing on the next day following the expiration of the Initial Term. All of the terms and conditions of this Agreement shall apply during the renewal term except that the Monthly Rental Amount shall be negotiated by the Lessor and the Lessee, however, Base Rent shall not increase more than 5% in each option period. The option to renew shall be exercised by written notice given to Lessor by Lessee not less than sixty (60) days prior to the expiration of the Initial Term. If notice is not given in the manner provided herein and within the time specified, this option to renew shall terminate.

Base Rent:

UNIT 129	MONTH 1-4	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ -	\$ -
TOTAL	\$ -	\$ -

UNIT 129	MONTH 5-60	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ 13.50	\$ 2,012.63
TOTAL	\$ 13.50	\$ 2,012.63

UNIT 129	MONTH 61-120	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ 14.80	\$ 2,206.43
TOTAL	\$ 14.80	\$ 2,206.43

Renewal Options: Base rent shall not increase more than 5% in each option period.

Taxes and Insurance: With regard to Lessor Operating Expenses passed through to Lessee under the Lease, Lessee shall only be responsible for its proportionate share, which shall be determined as a ratio of the number of square feet of floor area in the Premises bears to the total number of rentable square feet of floor area in the Center.

Real Estate Taxes: \$ 0.95 per square foot
Property Insurance: \$ 1.95 per square foot

Common Area
Expense: Lessee shall pay its share of the cost of ownership, operation, maintenance and management of the common areas of the Center. Lessee's share of such costs shall be that portion of all such expenses equal to the proportion thereof which the number of square feet of floor area in the Premises bears to the total number of rentable square feet of floor

area in the Center. The estimated monthly Common Area Expense charge for the first year is **\$2.10/sf/year**.

Total Pass Through Charges estimated to be and shall not exceed \$5.00 per square foot in the first year of the lease and shall revert to actuals beginning in year two of the initial term at which time Lessee's proportionate share of operating expenses shall not increase more than four percent (4%) annually, excluding Real Estate Taxes and Property Insurance.

Percentage Rent: Franchisor will not consent to Percentage Rent

Total Monthly Rental Payment for the Initial Term of the Lease Agreement is estimated to be as follows.

UNIT 129	MONTH 1-4	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ -	\$ -
CAM	\$ 2.10	\$ 313.08
TAX	\$ 0.95	\$ 141.63
INS.	\$ 1.95	\$ 290.71
TOTAL	\$ 5.00	\$ 745.42

UNIT 129	MONTH 5-60	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ 13.50	\$ 2,012.63
CAM	\$ 2.10	\$ 313.08
Taxes	\$ 0.95	\$ 141.63
Insurance	\$ 1.95	\$ 290.71
TOTAL	\$ 18.50	\$ 2,758.04

UNIT 129	MONTH 61-120	1789
RENT ITEM	PER SF	PER MONTH
BASE	\$ 14.80	\$ 2,206.43
CAM	\$ 2.10	\$ 313.08
Taxes	\$ 0.95	\$ 141.63
Insurance	\$ 1.95	\$ 290.71
TOTAL	\$ 19.80	\$ 2,951.85

Pre-sale

Site/Location:

Lessee shall be permitted to place a Kiosk (identified as a moveable table with a four spoke logoed tent or use of a vacant space with a table and chairs) in a mutually agreeable location to assist Lessee in pre-sales, membership and gift card sales prior to opening for a period of up to twelve (12) weeks. The location of the kiosk shall be agreed upon prior to Lease execution.

Business Hours:	Lessee will operate on a 24-hour basis. Hours of operation are based solely on operating hours promulgated by Franchisor. Lessor to keep the Center parking lot illuminated from dusk to dawn.
Radius Restriction:	None
Utilities:	Lessee to pay all separately metered utilities consumed by it on the Premises. Lessor to pay all hook-up charges and tap fees.
Signage:	Subject to availability, Lessor agrees to allow Lessee to install its standard signage on its storefront and any Shopping Center pylon or monument sign provided it is in accordance with local zoning regulations and Lessor sign criteria
Lease Rider:	Lessor agrees to sign the HOTWORX Lease Rider (attached hereto.) To be reviewed and agreed upon in Lease negotiations. All signage must conform to Lessor's Sign Design Criteria.
Merchant's Association:	Lessee not to be required to participate in any Merchant's Association advertising of promotional programs.
Repairs:	Lessor to be responsible for all common areas and all exterior and structural repairs to the Premises, including but not limited to the walls, roof, foundation, slab, gutters, and downspouts, buried plumbing and electrical lines and sub-floors (specifically including keeping the Premises free of leaks). Lessee to be responsible for interior areas, the HVAC and all utility lines located within the Premises and exclusively serving the Premises. Lessor shall turn over all warranties to Lessee for any/all new mechanicals. Lessee agrees to hire Butcher Air Conditioning, or other agreeable HVAC provider, to perform all maintenance, repairs and replacements of the heating and air conditioning systems and components servicing the Premises.
Security Deposit:	Upon execution of the lease agreement, Lessee shall deposit an amount equal to first month's rent with Lessor to secure Lessee's performance under the lease agreement.
Financial Contingency:	Lessee shall submit a complete set of financials to Lessor. Any agreement in lease terms shall be subject to review and approval by the Lessor of the above stated financials. Lessee's obligation to lease the space is contingent upon Lessee obtaining financing to lease the space on terms acceptable to Lessee in Lessee's sole opinion.

Brokers: Lessor and Lessee acknowledge that Morrow Hill, LLC and or Bang Realty, Inc., represent only the Lessee in this proposed transaction.

The Lessor shall pay Morrow Hill, LLC and or Bang Realty a commission pursuant to a separate agreement in the amount of four (4%) of the base rent.

Confidentiality: The parties shall maintain in the strictest confidence all matters concerning (1) the terms of this Agreement, (2) any information or documentation related to the negotiations relating to this Agreement, and (3) the transaction set forth in this Agreement. If asked about any of the above matters, each party shall respond that it is not at liberty to discuss these matters because they are the subject of a confidentiality agreement. Notwithstanding the foregoing, the parties may disclose (i) information necessary to enforce their rights under this Agreement, (ii) information which the parties are required to disclose pursuant to due process of law, and (iii) such limited information concerning this Agreement to such persons required to have knowledge of such information in order for the parties to comply with the terms and conditions of this Agreement. Lessor and Lessee agree not to issue any press release or make any public disclosure concerning the transaction contemplated hereby without the prior written approval of the other party, and agree not to disclose such matters except to such attorneys, accountants, lenders and others as are reasonably required in order to consummate the transaction. A breach of this covenant shall entitle the aggrieved party to damages caused by such disclosure as well as injunctive relief. The term of this paragraph shall survive the expiration or termination of this Letter of Intent.

Accepted by:

LESSEE: _____ DATE: _____

LESSOR: _____ DATE: _____

EXHIBIT A

Site Plan & Space Plan

Lessee has inspected and gathered all information required.

EXHIBIT B

Property Information Prior to execution of this letter of intent Lessor shall provide the following:

Adam Abdalla
Belle Realty of Lafayette, LLC
adam@belle-realty.com
337-288-5411 (cell)
337-769-1554
PO Box 62230
Lafayette, LA 70596
belle-realty.com

Name of person who will review the lease on behalf of Lessor
Adam Abdalla
Belle Realty of Lafayette, LLC
adam@belle-realty.com
337-288-5411 (cell)
337-769-1554
PO Box 62230
Lafayette, LA 70596
belle-realty.com

Electrical Requirement: Lessor acknowledges that Lessee minimum electrical needs are 400 AMPS three phase. Should electrical capacity to the building or to Lessees space not meet Lessee's minimum requirement, Lessee has the right to cancel the said agreement by providing Lessor written notice.

Electrical Information Prior to execution of this letter of intent Lessor shall provide the following:

Lessee has inspected and gathered all information required.

HVAC Information: Prior to execution of this letter of intent Lessor shall provide the following:

Lessee has inspected and gathered all information required.

EXHIBIT C

HOTWORX Design Certification

HOTWORX Design Certification

This document is designed to certify that your site-specific details are accounted for prior to beginning space planning by HOTWORX. It is imperative that this document be taken seriously and all information is accurate. Failure to report ALL information in its most accurate form can result in additional cost incurred and significant store opening delays at your sole responsibility.

Franchisee Name(s): _____

Store Code: _____

Studio Address: _____

Lease Execution Date: _____

Space "Turn Over" Date (if different than lease ex): _____

CHECK LIST:

- ☐ Provide a complete set of "As Built" drawings preferably in electronic format (CAD). "As Built" drawings indicate how the space exists today or how it will be built by the landlord.
- ☐ Provide field verified space dimensions & the exact location of contents including the existing doors, columns, plumbing, electrical panels, bathroom(s), etc.
- ☐ Provide field verified ceiling height & type of ceiling (drop/acoustical tile ceiling or open truss)
Ceiling Height: _____ feet _____ inches
Ceiling Type: Drop Ceiling _____ OR Open Truss _____

I hereby certify that all of the information provided has been field verified and is accurate. Furthermore, I understand that discrepancies within the information provided can result in additional cost (50\$ per hour for drawings), contractor change orders and further project delays at my sole responsibility. Finally, all problems or hazards currently existing in this location have been stated and/or demonstrated on the attached information.

Franchisee

Franchisee



EXHIBIT E

RIDER TO LEASE

THIS RIDER TO LEASE made this ____ day of _____, 201____, by and between _____, with principle offices at _____ (hereinafter "Lessor"); and _____, with principle offices at _____ (hereinafter "Lessee"); and HOTWORX FRANCHISING LLC, a Wyoming limited liability company, with its principal address at 5161 Taravella Road, Marrero, Louisiana 70072 (hereinafter "Franchisor").

This Rider supplements and forms a part of that certain lease between Lessor and Lessee, dated _____, 201____, (the "Lease") for leased premises located at _____ (the "Premises"). This Rider is entered into in connection with Franchisor's grant of a franchise to Lessee to operate a franchised business at the Premises. It is intended to provide Franchisor the opportunity to preserve the Premises as a hot yoga and isometrics toning studio operated under Franchisor's brand in the event of any termination of the lease or any franchise agreement between Franchisor and Lessee, and to assure Lessor that, if Franchisor exercises the option to assume the Lease as provided in this Rider to Lease, any defaults of Lessee under the Lease will be cured by Franchisor before it takes possession of the Premises. Lessor agrees that Franchisor will have the right, but not the obligation, to assume the Lease of the Premises attached hereto as Exhibit A, on the terms, covenants and conditions hereinafter set forth.

I. DEFAULT BY LESSEE UNDER THE LEASE

1.0 Lessor will send Franchisor copies of all notices of default it gives to Lessee at the same time it gives such notices to Lessee. If Lessee fails to cure any default within the period specified in the Lease, Lessor will promptly give written notice to Franchisor, specifying the default Lessee has failed to cure. Franchisor will have the right and option to assume the Lease by giving written notice to Lessor and Lessee within thirty (30) days after the date of receipt of Lessor's notice that Lessee has failed to cure a default under the Lease.

1.1 Lessor will deliver possession of the Premises to Franchisor promptly after Lessor receives Franchisor's written notice exercising its option to assume the Lease. Franchisor, upon taking possession of the Premises, will cure the defaults specified by Lessor and will execute and deliver to Lessor an assumption of the Lessee's rights and obligations under the Lease.

1.2 Franchisor will not be required to cure defaults and/or begin paying rent until Lessor delivers possession of the Premises to Franchisor. If it becomes necessary for Lessor to pursue legal action in order to evict Lessee and deliver possession of the Premises to Franchisor, Franchisor will, upon written request by Lessor, pay into an escrow account with Lessor's attorney, such amounts as are necessary to cure Lessee's defaults. If Lessor is unable to deliver possession of the Premises to Franchisor within nine (9) months after the date of Franchisor's exercise of its option to assume the Lease, Franchisor will have the right, at any time until Lessor delivers possession of the Premises, to rescind the option exercise, by written notice to Lessor, whereupon all amounts in escrow shall be returned to Franchisor.

II. LESSEE'S FAILURE TO EXTEND TO LEASE TERM.

2.0 If the Lease contains the term renewal or extension right(s) and if Lessee allows the term to expire without exercising said right(s), Lessor will give Franchisor written notice thereof, and Franchisor will have the right and option to exercise the Lessee's renewal or extension right(s) on the same terms and conditions as are contained in the Lease by giving written notice to Lessor within thirty (30) days of receipt of Lessor's notice. If Franchisor exercises such right(s) Lessor and Franchisor will promptly execute a lease assumption agreement that will provide for Franchisor's assumption of the Lease effective at the commencement of the extension or renewal term.

III. TERMINATION OF A FRANCHISE AGREEMENT.

3.0 Franchisor will have the right and option to assume the Lease if any franchise agreement between Franchisor and Lessee is terminated for any reason during the term of the Lease. If any franchise agreement between Franchisor and Lessee is terminated and Franchisor desires to assume the Lease it may give written notice to Lessor requesting that Lessor specify any existing defaults by Lessee under the Lease. Within fifteen (15) days after receipt of such notice, Lessor will give Franchisor written notice specifying any existing defaults by Lessee under the Lease.

3.1 If any franchise agreement between Franchisor and Lessee is terminated, Lessee shall, within ten (10) days after written demand by Franchisor, assign all of its right, title and interest in the Lease to Franchisor. If Lessee fails to do so, Lessee hereby designates Franchisor as its agent to execute any and all documents, agreements and to take all action that may be necessary or desirable to effectuate the assignment of the Lease and the relinquishment of any and all of Lessee's right there under. Lessor consents to such assignment, subject to Franchisor executing an assumption of the Lease in form reasonably satisfactory to Lessor and curing all defaults of Lessee under the Lease before taking possession of the Premises. Lessee further agrees to promptly and peaceably vacate the Premises and to remove its personal property at the written request of Franchisor. Any property not so removed by Lessee within ten (10) days following receipt of such written request shall be deemed abandoned by Lessee.

3.2 Lessee agrees that termination of any franchise agreement for the Premises shall, at the option of Lessor, be a default under the Lease.

IV. ADDITIONAL PROVISIONS

4.0 Lessee shall remain liable to Lessor for all of its obligation under the Lease, notwithstanding any assignment of the Lease to Franchisor. Franchisor shall be entitled to recover from Lessee all amounts it pays to Lessor to cure Lessee's defaults under the Lease, including interest and reasonable collection costs.

4.1 Prior to taking possession of the Premises pursuant to its rights under this Rider to Lease, Franchisor will cure the defaults specified by Lessor and execute and deliver to Lessor an assumption of the Lessee right and obligation under the Lease. Franchisor will pay, perform and be bound by all of the duties and obligations of the Lease applicable to Lessee, except that Franchisor may elect not to assume or be bound by the terms of any amendment to the Lease executed by Lessee without obtaining Franchisor's prior written approval, which shall not be unreasonably withheld.

4.2 After Franchisor assumes Lessee's interest in the Lease, Franchisor will not be subject to any provision of the Lease that requires the Lessee to continuously operate a business in the Premises during any period that the business in the Premises is closed for remodeling or while the Franchisor is seeking to obtain and train a new franchisee to operate a franchised business in the Premises.

4.3 After Franchisor assumes Lessee's interests in the Lease, Franchisor may, without Lessor's consent, sublet the Premises to a franchisee of Franchisor provided the Franchisor remains primarily liable under the Lease.

4.4 After Franchisor assumes Lessee's interest in the Lease, Franchisor may, assign this Lease so long as Franchisor remains liable for the payment of rent and the performance of Lessee's duties and obligations under the Lease. Franchisor may also, with the prior written consent of Lessor, assign without recourse its rights under the Lease. Lessor shall not unreasonably withhold its consent to an assignment to a franchisee of Franchisor who meets Franchisor's financial qualification requirements. Upon receipt by Lessor of an assumption agreement in form reasonably satisfactory to Lessor pursuant to which such franchisee agrees to assume the Lease and to observe the terms, conditions and agreements on the part of Lessee to be performed under the Lease, Franchisor shall be released from all liability as Lessee under the Lease accruing after the date of the effective date of the assignment.

4.5 If the Lease or Franchise Agreement for the Premises is terminated and Franchisor does not exercise its option to assume the Lease, Lessee agrees, upon written demand by Franchisor, to promptly remove signs, décor and other items which Franchisor reasonably requests be removed as being distinctive and indicative of Franchisor's trademarks and trade dress. Franchisor may enter upon the Premises without being guilty of trespass or tort to effect such de-identification if Lessee fails to do so within ten (10) days after receipt of written demand from Franchisor. Lessee shall pay Franchisor for its reasonable cost and expenses in effecting de-identification. Franchisor shall defend, indemnify and hold Lessor harmless from and against any claims arising from Franchisor's de-identification of the Premises.

4.6 BY EXECUTING THIS RIDER TO THE LEASE, FRANCHISOR DOES NOT HEREBY ASSUME ANY LIABILITY WITH RESPECT TO THE PREMISES OR ANY OBLIGATION AS LESSEE UNDER THE LEASE, UNLESS AND UNTIL FRANCHISOR EXPRESSLY ASSUMES SUCH LIABILITY AND/OR OBLIGATION, AS HEREINABOVE DESCRIBED.

4.7 All notices hereunder shall be delivered by certified mail to the addresses described in the Lease or to such other address as any party hereto may, by written notice instruct that notices be given. In the case of Franchisor, notices should be sent to: Director of Location Development, 5145 Taravella Road, Marrero, Louisiana, 70072, until further notice.

IN WITNESS WHEREOF, THE PARTIES HERETO HAVE CAUSED THIS LEASE OPTION RIDER TO BE EXECUTED AS OF THE DATE FIRST ABOVE WRITTEN.

Witness/Attest:

_____	By: _____	Lessor
_____	_____	President
_____	_____	Individually
_____	By: _____	Lessee
_____	_____	President
_____	_____	Individually

HOTWORX FRANCHISING LLC

By: _____
Director of Location Development Date